



BANKS ARE GOING THROUGH A BOARD REFRESH BECAUSE OF A RULE INTRODUCED THROUGH THE COMPANIES ACT IN 2014 THAT CAPPED THE TENURES IDS AT A DECADE

come up against significant challenges in meeting these enhanced responsibilities.

First, how can independent directors know what is being held back from them? “An independent director has two broad sources of information—what’s provided by the management and what can be gathered from interactions with the regulator, auditors and market participants,” says Vimal Bhandari, former independent director on the board of RBL Bank and, until recently, the executive vice-chairman and CEO of Arka Fincap (he is currently chairman at HDFC MF Trustee Company).

What is left unsaid here is that there’s no fool-proof way for inde-

pendent directors to know what’s going on in a bank; much of it depends on what the professional management presents to the board. And given the complexities in the financial sector, there’s no way an independent director can know the nuances involved—be it in a bank, an NBFC, a small finance bank or a fintech company. It gets more complicated, especially in the case of financial conglomerates that come under regulatory jurisdictions of multiple bodies like the RBI, Securities and Exchange Board of India, the Pension Fund Regulatory and Development Authority and the Insurance Regulatory and Development Authority of India.

Now add to that the fact that the demand for reputed independent directors is growing across corporate India and so, to onboard them, you must pay well.

“For banks, in particular, aligning their compensation with industry benchmarks is essential,” says Ravi Duvvuru, member of the advisory group on Regulatory Review Authority 2.0 and partner at Duvvuru & Reddy LLP. He feels that “while remuneration alone may not guarantee stronger governance, it’s a key enabler that enhances independence, engagement and effectiveness of board members.”

Besides, there are legislative complications as well, like the Banking Regulations (BR) Act, which states that not less than 50% directors are to be drawn from specific professional pools. It is clear that the heat on independent directors and lower compensation compared with the wider corporate world has made hiring tougher. The RBI permits part-time directors of banks to be paid only sitting fees while the Companies Act allows up to 1% of a firm’s profit to be paid in commissions. The range for independent di-